3.7.5 GDP, inflation and exchange rates

Unit 3.7 Analysing the strategic position of a business · 8 key points

- **GDP:** total value of goods and services produced in an economy
- **Economic growth:** rising GDP; usually means rising incomes and demand
- **Recession:** GDP falls for two quarters in a row
- **Inflation:** general rise in prices
- **Effect of inflation:** rising costs; real incomes fall if wages do not keep up
- **Strong pound:** imports cheaper, exports dearer
- **Weak pound:** exports cheaper, imports dearer
- **Trap:** falling inflation means prices rise more slowly, not that they fall